

GlobalTrust Financial Services

Loan Approval Standard Operating Procedure

Banking Operations Department

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Table of Contents

1. Purpose
2. Scope
3. Loan Types
4. Roles & Responsibilities
5. End-to-End Loan Workflow
6. Eligibility Assessment
7. Required Documentation
8. Credit Assessment
9. Underwriting Process
10. Approval Matrix
11. Loan Disbursement
12. Exception Handling
13. Quality Assurance
14. Frequently Asked Questions
15. Appendices

1. Purpose

This Loan Approval Standard Operating Procedure (SOP) establishes consistent processes for evaluating, approving, and disbursing non-mortgage lending products at GlobalTrust Financial Services (GTFS). Mortgage loans are governed separately by the Mortgage Processing Guide (GTFS-OPS-002).

- **Customer experience** — Standardised timelines; loan processing SLA of 5 business days.
- **Operational risk** — Defined approval authorities and documentation requirements.
- **Regulatory compliance** — Aligned with KYC Guidelines (GTFS-COMP-002) and AML Policy (GTFS-COMP-001).
- **Credit quality** — Minimum credit score of 700 and maximum DTI of 40% enforced.
- **Risk management** — Integrated with GTFS-RISK-001 Enterprise Risk Management Framework.

COMPLIANCE REMINDER: Never bypass KYC verification before initiating credit assessment. Customer identity must be confirmed per GTFS-COMP-002 prior to any loan decision.

2. Scope

Loan products covered:

- Personal Loans, Business Loans, SME Loans, Commercial Loans, Corporate Loans.
- Working Capital, Equipment Financing, Trade Finance, Overdraft Facilities.
- **Excluded:** Mortgage loans — refer to GTFS-OPS-002.

Personnel covered:

- Relationship Managers, Branch Managers, Credit Analysts, Underwriters, Approvers, Operations.

3. Loan Types

Loan Type	Description	Maximum Amount	Typical Tenor
Personal Loan	Unsecured consumer lending	SGD 250,000	1–5 years
Business Loan	General business financing	SGD 5 Million (SME)	1–7 years
Working Capital Loan	Short-term liquidity for operations	SGD 5 Million	6–24 months
Equipment Financing	Asset-backed business lending	SGD 5 Million	3–7 years
Commercial Loan	Mid-market commercial lending	SGD 10 Million	3–10 years
Corporate Credit Facility	Large corporate revolving credit	SGD 50 Million	1–5 years
Trade Finance	Import/export financing	Per facility limit	90–180 days
Overdraft Facility	Revolving short-term credit	Per approved limit	Renewable annually

IMPORTANT: Corporate loans exceeding SGD 10 Million require Executive Credit Committee approval. Maximum corporate loan exposure is SGD 50 Million per obligor group.

Loan Types Comparison — Key Features

Feature	Personal	SME	Commercial	Corporate
Collateral	Typically unsecured	Optional	Often secured	Secured / guaranteed
Approval path	RM → Branch Manager	Regional Manager	Credit Committee	Executive Credit Committee
KYC requirement	Individual CDD	Corporate + UBO	Full corporate CDD	Enhanced corporate CDD
Monitoring	Annual review	Semi-annual	Quarterly covenants	Continuous monitoring

4. Roles & Responsibilities

Role	Primary Responsibilities
Relationship Manager	Customer engagement; application initiation; document collection; ≤ SGD 50,000 approval
Branch Manager	Branch oversight; approvals up to SGD 250,000; escalation
Credit Analyst	Credit assessment within 2 business days; bureau and cash flow analysis
Underwriter	Underwriting within 2 business days; risk rating; collateral evaluation
Risk Officer	Policy compliance; risk score validation per GTFS-RISK-001
Operations	Document verification (1 business day); disbursement within 2 days of acceptance
Compliance	AML screening (GTFS-COMP-001); sanctions checks
Loan Committee	Credit Committee (≤ SGD 10M); Executive Credit Committee (> SGD 10M)

5. End-to-End Loan Workflow





Figure — Loan Processing Swimlane

Relationship Manager	Credit Analyst	Underwriter	Operations
Submit application	—	—	Create loan file
Collect documents	Verify completeness	—	Document verification SLA: 1 business day
Eligibility check	Credit bureau pull	—	KYC status confirmed
—	Credit assessment (2 days)	Risk rating assigned	—
Present to approver	—	Underwriting (2 days)	Prepare approval pack
Notify customer	—	—	Issue offer letter (30-day validity)
—	—	—	Disburse within 2 business days

6. Eligibility Assessment

Criterion	Personal Loan	SME / Business	Corporate
Minimum Credit Score	700	700 (guarantor if entity)	700 (key principals)
Maximum DTI Ratio	40%	N/A — use DSCR	N/A — use leverage ratios
Employment Stability	Minimum 12 months	N/A	N/A
Business Operating History	N/A	Minimum 24 months	Minimum 24 months
Income / Revenue	Verified salary slips	Audited financials	Audited financials
Credit Bureau	Mandatory	Mandatory (entity + guarantor)	Mandatory
Internal Risk Score	System-generated	Analyst-assigned	Committee-reviewed

COMPLIANCE REMINDER: Applications with DTI exceeding 40% for personal loans must be declined unless a documented policy exception is approved by the Chief Credit Officer.

Loan Eligibility Matrix

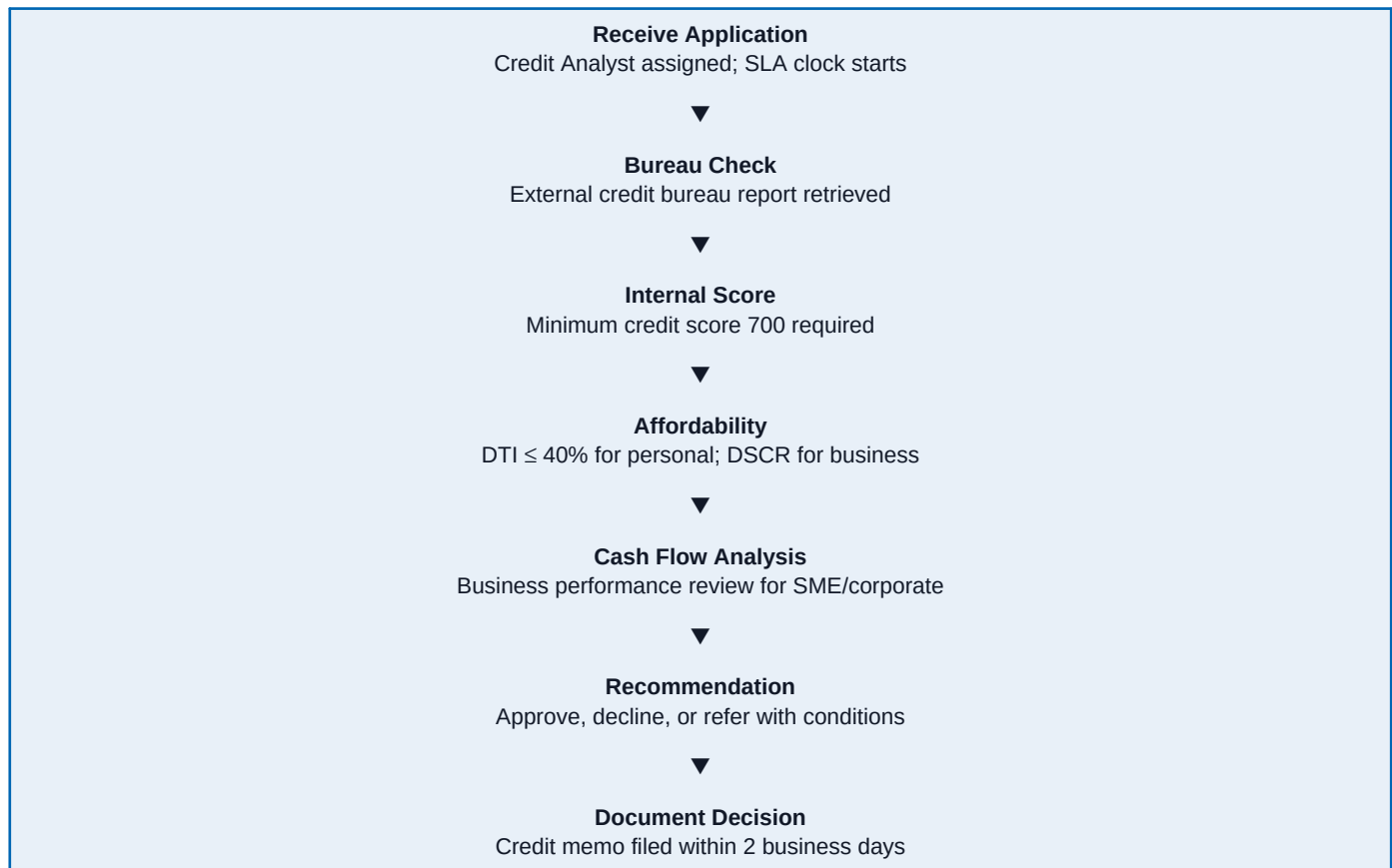
Eligibility Factor	Pass Criteria	Fail Action	Exception Path
Credit Score	≥ 700	Decline	CCO approval
DTI (Personal)	≤ 40%	Decline	CCO approval
Employment	≥ 12 months current employer	Hold / decline	CCO with proof of continuity
Business History	≥ 24 months operating	Decline SME/corporate	No exception
KYC Status	Complete per GTFS-COMP-001	Cannot proceed	Complete KYC first
AML Screening	Clear per GTFS-COMP-001	Decline / STR	Compliance review
Existing Obligations	Within policy limits	Reduce amount or decline	CCO approval

7. Required Documentation

Document Category	Personal Loan	SME / Business	Corporate
Identity Documents	NRIC/Passport per GTFS-COMP-001	Company registration + director IDs	Certificate of Incorporation + UBO
Financial Statements	N/A	Last 2 years audited	Last 2 years audited + management accounts
Tax Returns	Latest IRAS notice	Last 2 years corporate tax	Last 2 years corporate tax
Salary Slips	Last 3 months	N/A (director remuneration if applicable)	N/A
Business Registration	N/A	ACRA BizFile	ACRA BizFile + Board Resolution
Bank Statements	Last 12 months	Last 12 months (business accounts)	Last 12 months (operating accounts)
Collateral Documents	N/A (unsecured)	Asset valuation if secured	Security documentation + valuation

8. Credit Assessment

Credit Assessment Workflow



Assessment Element	Method	SLA
Internal Credit Score	Proprietary scoring model	Real-time at application
External Credit Bureau	CBS / equivalent bureau pull	Same day
Affordability Assessment	Income vs obligations (DTI 40% max)	Within credit assessment SLA
Cash Flow Analysis	3-year trend from financial statements	2 business days
Business Performance	Revenue growth, margins, liquidity ratios	2 business days

9. Underwriting Process

- **Manual Review** — All loans $\geq$ SGD 50,000 require underwriter review.
- **Risk Rating** — Assigned per GTFS-RISK-001 credit risk category.
- **Policy Exceptions** — Require Chief Credit Officer approval.
- **Collateral Evaluation** — Independent valuation for secured facilities.
- **Decision Documentation** — Underwriting memo within 2 business days.

COMMON PROCESSING ERROR: Incomplete underwriting documentation is the most common cause of audit findings. Every decision must include rationale, supporting data, and approver identity.

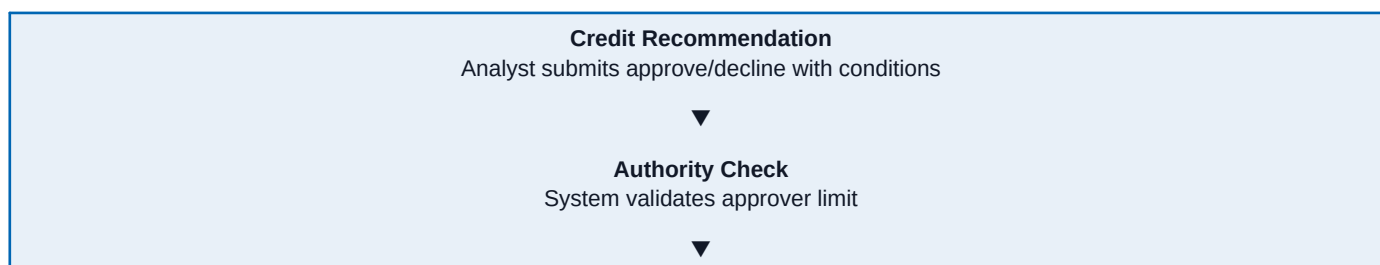
10. Approval Matrix

Figure — Approval Authority Decision Tree



Approver	Maximum Approval Limit	Loan Types	Conditions
Relationship Manager	Up to SGD 50,000	Personal loans only	Score $\geq$ 700; DTI $\leq$ 40%
Branch Manager	Up to SGD 250,000	Personal, small business	Credit memo on file
Regional Manager	Up to SGD 1 Million	SME, commercial	Underwriter sign-off
Credit Committee	Up to SGD 10 Million	Commercial, corporate	Full committee quorum
Executive Credit Committee	Above SGD 10 Million	Corporate, syndicated	Board notification for $\geq$ SGD 25M
Chief Credit Officer	Policy exceptions	All types	Documented exception required

Approval Workflow





11. Loan Disbursement

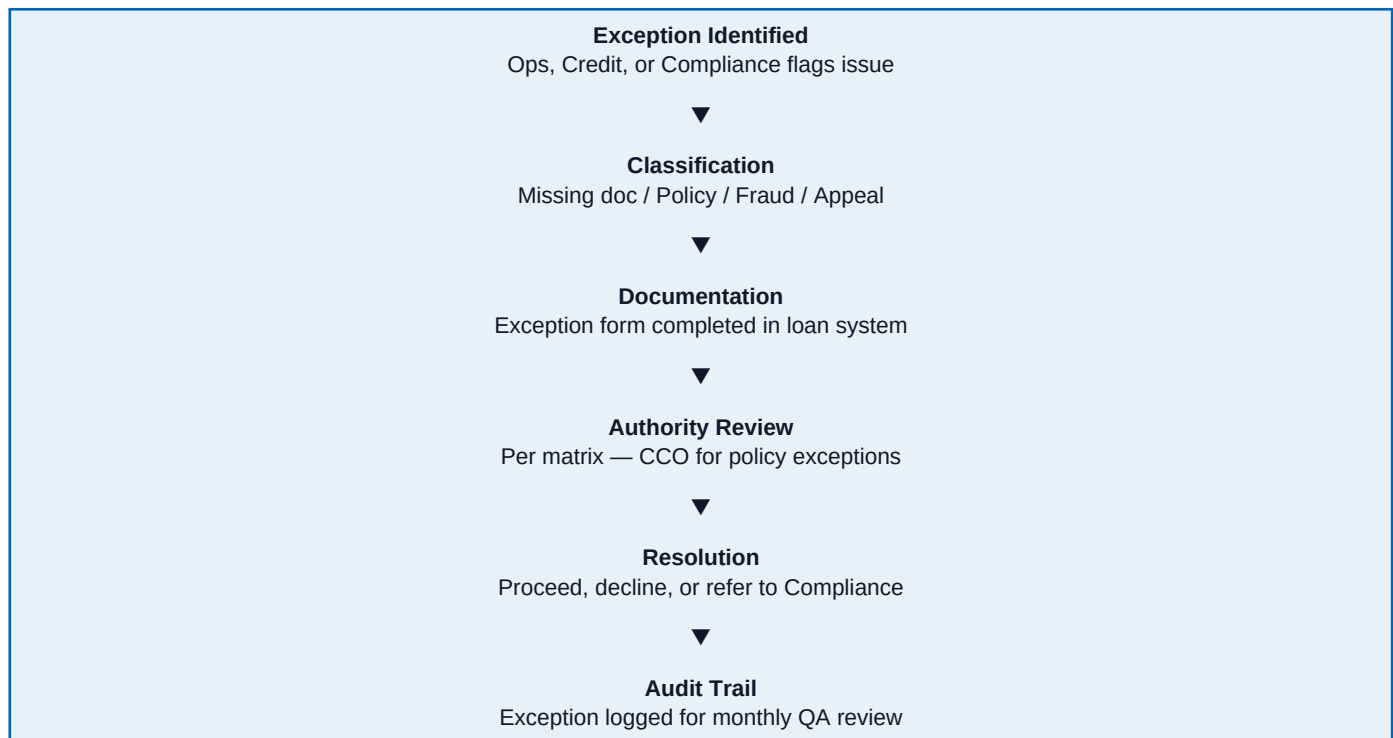
Step	Responsible Party	Requirement	Timeline
Pre-disbursement Verification	Operations	All conditions satisfied; KYC current	Same day
Documentation	Operations	Signed offer; security docs executed	Same day
Fund Release	Operations / Treasury	Transfer to customer account	Within 2 business days after acceptance
Customer Notification	RM / Operations	SMS and email confirmation	Same day as disbursement
File Archival	Operations	Complete loan file stored securely	Within 1 business day

BEST PRACTICE: Loan files must be retained for 7 years. Storage must comply with GTFS-SEC-001 information security requirements.

12. Exception Handling

Exception Type	Handling Procedure	Approval Authority	Escalation
Missing Documents	Hold application; RM notified; 5-day customer follow-up	RM or loan officer	Ops supervisor
Policy Exceptions	Document rationale; risk assessment update	Chief Credit Officer	CRO notification
Fraud Suspicion	Freeze application; file STR per GTFS-COM-001	Compliance + CCO	Immediate
Incomplete Applications	Return to RM with deficiency list	N/A	Branch Manager
Appeals	Independent review by different underwriter	One level above original approver	Customer Complaints SOP (GTFS-OPS-003)

Exception Escalation Workflow



13. Quality Assurance

- **Internal Audit** — Annual review of loan approval processes.
- **Random Reviews** — 10% of approved loans each month reviewed by QA team.
- **Compliance Checks** — Monthly AML and KYC compliance sampling.
- **SLA Monitoring** — Monthly dashboard: processing (5 days), credit (2 days), underwriting (2 days).

QA Activity	Frequency	Sample Size	Owner
Random loan file review	Monthly	10% of approved loans	Operations QA
SLA compliance report	Monthly	All applications	Operations Manager
Compliance check	Monthly	Statistical sample	Compliance
Internal audit	Annually	Risk-based selection	Internal Audit

OPERATIONS TIP: Quality audit frequency is Monthly. Failed QA reviews trigger mandatory retraining for the responsible RM or analyst.

SLA Monitoring Dashboard

Metric	Target	Reporting Frequency	Escalation Trigger
End-to-end processing time	5 business days	Monthly	> 7 days average
Credit assessment turnaround	2 business days	Monthly	> 3 days average
Underwriting turnaround	2 business days	Monthly	> 3 days average
Document verification	1 business day	Weekly	> 2 days average
Disbursement after acceptance	2 business days	Monthly	> 3 days
QA sample completion	10% monthly	Monthly	< 10% completed

IMPORTANT: Warning: Processing a loan without completed KYC or AML clearance constitutes a serious compliance breach. Immediately escalate to Compliance and Branch Manager.

Loan Processing Case Studies

Case Study: Personal Loan Application

Application: Singapore resident applies for SGD 35,000 personal loan via branch. Credit score 745, DTI 32%.

Assessment: Credit assessment completed in 1.5 days. All documents verified within SLA.

Approval Decision: Approved by Relationship Manager (within SGD 50,000 limit).

Timeline: Total processing: 4 business days. Disbursement 2 days after acceptance.

Lessons Learned: Standard personal loan — demonstrates RM-level approval workflow.

Case Study: SME Working Capital Loan

Application: SME with 36 months operating history requests SGD 800,000 working capital.

Assessment: Financial statements (2 years), bank statements (12 months), credit score 710. Business history exceeds 24-month minimum.

Approval Decision: Approved by Regional Manager (within SGD 1 Million limit).

Timeline: Credit assessment: 2 days. Underwriting: 2 days. Total: 5 business days.

Lessons Learned: SME documentation checklist critical — missing bank statements delay processing.

Case Study: Corporate Loan Approval

Application: Multinational subsidiary requests SGD 25 Million revolving credit facility.

Assessment: Full corporate due diligence; audited financials; UBO verification per GTFS-COMP-002.

Approval Decision: Approved by Executive Credit Committee (above SGD 10 Million).

Timeline: Processing: 12 business days (complex). Disbursement within 2 days of acceptance.

Lessons Learned: Corporate loans require committee quorum — schedule meetings in advance.

Case Study: Policy Exception

Application: Personal loan applicant with credit score 695 (below 700 minimum) but strong income profile.

Assessment: Credit Analyst flags policy exception. DTI 38% — within 40% limit.

Approval Decision: Chief Credit Officer approves exception with enhanced monitoring conditions.

Timeline: Additional 2 business days for exception approval. Total: 7 business days.

Lessons Learned: All policy exceptions require CCO approval — never override score without documentation.

Case Study: Rejected Loan

Application: Applicant with credit score 620 and DTI 52% applies for SGD 80,000 personal loan.

Assessment: Fails minimum credit score (700) and maximum DTI (40%). No viable exception.

Approval Decision: Declined by Credit Analyst. Decline letter issued within SLA.

Timeline: Decision in 3 business days. File retained for 7 years.

Lessons Learned: Clear decline rationale documented — reduces appeal disputes per GTFS-OPS-003.

Case Study: Fraud Detection During Processing

Application: Operations flags mismatched salary slip amounts during document verification.

Assessment: Compliance notified. AML screening re-run per GTFS-COMP-001. Fraud typology identified.

Approval Decision: Application frozen. STR filed. Application declined.

Timeline: Immediate escalation. No disbursement. Investigation ongoing.

Lessons Learned: Document verification SLA of 1 business day enabled early fraud detection.

14. Frequently Asked Questions

Q: What is the maximum personal loan amount?

A: SGD 250,000.

Q: Maximum SME loan?

A: SGD 5 Million.

Q: Maximum corporate loan?

A: SGD 50 Million.

Q: RM approval limit?

A: Up to SGD 50,000 for personal loans.

Q: Branch Manager approval limit?

A: Up to SGD 250,000.

Q: Regional Manager approval limit?

A: Up to SGD 1 Million.

Q: Credit Committee approval limit?

A: Up to SGD 10 Million.

Q: Executive Credit Committee?

A: Required for loans above SGD 10 Million.

Q: Minimum credit score?

A: 700.

Q: Maximum debt-to-income ratio?

A: 40% for personal loans.

Q: Minimum business operating history?

A: 24 months for SME and corporate.

Q: Required bank statements?

A: Last 12 months.

Q: Required financial statements?

A: Last 2 years (SME and corporate).

Q: Employment stability requirement?

A: Minimum 12 months for personal loans.

Q: Loan processing SLA?

A: 5 business days end-to-end.

Q: Credit assessment SLA?

A: 2 business days.

Q: Underwriting SLA?

A: 2 business days.

Q: Document verification SLA?

A: 1 business day.

Q: Offer letter validity?

A: 30 days from issue date.

Q: Disbursement timeline?

A: Within 2 business days after customer acceptance.

Q: Loan file retention?

A: 7 years.

Q: Quality audit frequency?

A: Monthly.

Q: Random loan file review rate?

A: 10% of approved loans each month.

Q: Who approves policy exceptions?

A: Chief Credit Officer.

Q: Where is the mortgage process documented?

A: GTFS-OPS-002 Mortgage Processing Guide — not covered by this SOP.

15. Appendices

Appendix A — Loan Checklist (Personal Loan)

- Application form completed and signed
- Government-issued ID (GTFS-COMP-002 KYC complete)
- Salary slips — last 3 months
- Bank statements — last 12 months
- Credit bureau report — score ≥ 700
- DTI calculation — $\leq 40\%$
- Employment verification — minimum 12 months
- AML screening cleared (GTFS-COMP-001)
- Offer letter issued — 30-day validity
- Disbursement within 2 business days of acceptance

Appendix B — Approval Authority Matrix

Loan Amount (SGD)	Approver	Additional Requirements
$\leq 50,000$	Relationship Manager	Personal only; score ≥ 700
$\leq 250,000$	Branch Manager	Credit memo required
$\leq 1,000,000$	Regional Manager	Underwriter sign-off
$\leq 10,000,000$	Credit Committee	Full committee minutes
$> 10,000,000$	Executive Credit Committee	Risk assessment per GTFS-RISK-001
Policy exception	Chief Credit Officer	Written exception form

Appendix C — Processing SLA Table

Process Stage	SLA	Responsible
Document verification	1 business day	Operations
Credit assessment	2 business days	Credit Analyst
Underwriting	2 business days	Underwriter
End-to-end processing	5 business days	All parties
Disbursement	2 business days after acceptance	Operations

Appendix D — Loan Glossary

Term	Definition
DTI	Debt-to-Income ratio — maximum 40% for personal loans
DSCR	Debt Service Coverage Ratio — used for business lending
SLA	Service Level Agreement — target processing timelines
CCO	Chief Credit Officer — approves policy exceptions

Term	Definition
STR	Suspicious Transaction Report — per GTFS-COMP-001
UBO	Ultimate Beneficial Owner — per GTFS-COMP-002
Offer Letter	Formal loan offer — valid for 30 days

Appendix E — Department Contacts

Function	Contact
Loan Operations	loan-ops@gtfs.internal
Credit Analysis	credit@gtfs.internal
Underwriting	underwriting@gtfs.internal
Chief Credit Officer	cco-credit@gtfs.com
Customer Complaints	complaints@gtfs.com (GTFS-OPS-003)

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